

WARRANTY ATLAS · Massachusetts (MA)

Law last amended: 2012 (eff. 2012-10-16) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-09-30

Cites: Mass. Gen. Laws ch. 93B, § 9(b) (compensation, labor-rate method); ch. 93B, § 9(b)(4) (claims); § 9(c)-(h) (audits/chargebacks); ch. 93B, §§ 3(a), 9(i), 15 (remedies)

Distributor-franchised state: dealers here are franchised by Subaru of New England, Inc., an independent regional distributor. The rules below apply to the franchisor that holds the dealer's franchise; confirm with Legal how they apply to programs run by the manufacturer's U.S. company.

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	Required	Factory time (reasonable/adequate standard where stated)	§ 9(b)(3); scope § 9(b)(1)
Mfr-backed service contract	Conditional	Factory time (reasonable/adequate standard where stated)	§ 9(b)(1)
CPO warranty	Conditional	Factory time (reasonable/adequate standard where stated)	§ 9(b)(1)
Independent service contract	Not reached	-	§ 9(b)(1)

Hourly rate: Retail rate: 100 sequential non-warranty customer-paid ROs or 60 consecutive days of them, whichever is less, all no older than 180 days; total labor sales divided by total labor hours. Rate is presumed fair and takes effect 30 days after the declaration, subject to audit and rebuttal. The dealer may sue, and the manufacturer bears the burden. One declaration per calendar year. Floor: 'not be less than the rate and price customarily charged for retail customer repairs'.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. Disapproval must be in writing or by electronic transmission within 30 days of receipt; no statement of grounds required	ch. 93B, § 9(b)(4)
Payment	30 days after approval. Dealer filing deadline: Silent.	
Chargebacks	12 months; fraud: Audits may reach periods beyond 1 year if there is evidence of fraud.... Measured from claim payment or end of program period, whichever is later. Chargeback only if the claim was fraudulent or false, the repairs were improper or unnecessary, or the dealer failed reasonable written requirements then in effect (d). Before any charg...	ch. 93B, § 9(c); see also § 9(d)-(i)
Rate resubmission	once per calendar year. Sample: 100 ROs or 60 days (fewer of the two samples); ROs <= 180 days old. Excluded: Routine maintenance, Other (see text), Tires, Prep / reconditioning.	ch. 93B, § 9(b)(2)(ii); exclusions § 9(b)(2)(iii); frequenc...
Mfr response	30 days; no response = approved: Yes. Challenge: The declared average labor rate is presumed fair and reasonable. In court the manufacturer must prove the declared rate was 'inaccurate or unreasonable'. Forum: Court of competent jurisdiction; the dealer must file within 30 days....	ch. 93B, § 9(b)(2)(ii)
Penalties	§ 15(a): damages and equitable relief, including injunctive relief, in superior court or D. Mass. § 15(c): reasonable costs and attorneys' fees when the other side's claims or defenses were in bad faith. § 15(b): parties must meet and confer before suit. § 15(d): a settlement offer can cap the award.	Mass. Gen. Laws ch. 93B, §§ 3(a), 9(i), 15
Audit procedures	Audit climate score 40/100 (High restrictiveness; chargeback limits 25/75 + process and oversight 15/25). Advance notice: no; selection basis disclosed: yes; frequency cap: none; written reasons: yes; response period: 30 days; internal appeal: no; held pending appeal: no; extrapolation: restricted; clerical-error protection: no; rate validation: limited to the submission.	

Statute quotes

Claims (ch. 93B, § 9(b)(4)): "A claim not disapproved in writing or by means of electronic transmission not later than 30 days after receipt shall be considered approved and payment shall be made within 30 days."

Chargebacks (ch. 93B, § 9(c); see also § 9(d)-(i)): "for 1 year after the date on which a claim is paid or the end of any program period, whichever is later, and to charge back any amounts paid on claims identified in subsections (d) and (e)."

Rate (ch. 93B, § 9(b)(2)(ii); exclusions § 9(b)(2)(iii); frequenc...): "100 sequential nonwarranty, customer-paid service repair orders or 60 consecutive days of nonwarranty, customer-paid service repair orders, whichever is less, covering repair orders made not more than 180 days before the submission"

Factory time (§ 9(b)(3); scope § 9(b)(1)): "Time allowances for the diagnosis and performance of warranty work and service shall be reasonable and adequate for the work to be performed."

Notes

Scope: warranty, maintenance plan, extended warranty, CPO or service contract issued by the manufacturer or distributor or its common entity, but not by a common entity that is not a manufacturer. Also recall, campaign, authorized goodwill, directive or bulletin work. Floor: 'not less than the rate and price customarily charged for retail customer repairs'. Time allowances must be 'reasonable and adequate'. Powersport and RV labor is paid at 'the rate normally charged by the motor vehicle dealer to the public'. RV parts get cost plus 30%. The labor window is 60 days, not the more common 90. The declaration takes effect by operation of law at 30 days, and the rebuttal/proposal deadline is also 30 days after submission. Dealers need not keep defective parts more than 90 days after claim submission. The 6-month filing window in § 9(j) covers incentive claims only; warranty claims have no s...

Source: official · <https://malegislature.gov/Laws/GeneralLaws/PartI/TitleXVI/Chapter93B/Section9> · Confidence: high. Public-source research summary for audit planning, not legal advice. No SOA-approved rates. Confirm against the cited statute; escalate disputes to Legal.